

BB

SPECULATIVE

PROBABILITY OF DEFAULT

4.2%

80% band: 2.4 – 6.0%

₹93,537

EXPECTED LOSS

24.0%

INDICATIVE RATE

₹6.25 Cr

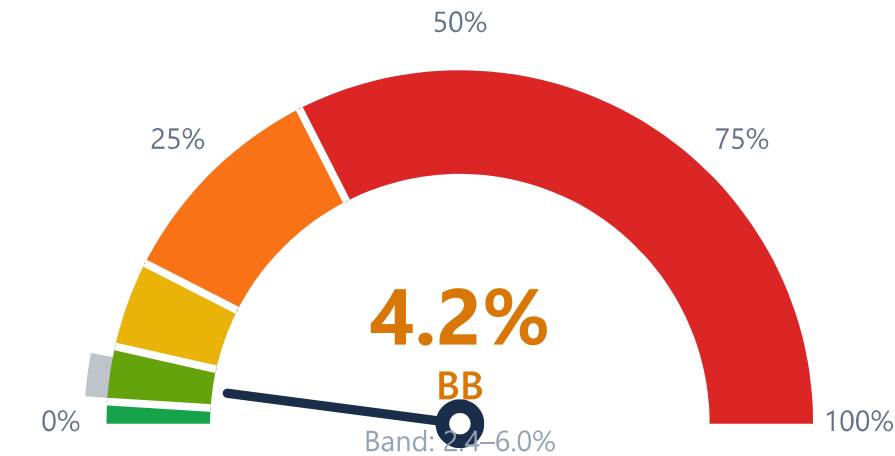
RWA

REFER TO CREDIT COMMITTEE

Model-suggested decision (advisory). The final decision rests with the Relationship Manager.

1 — RISK ASSESSMENT

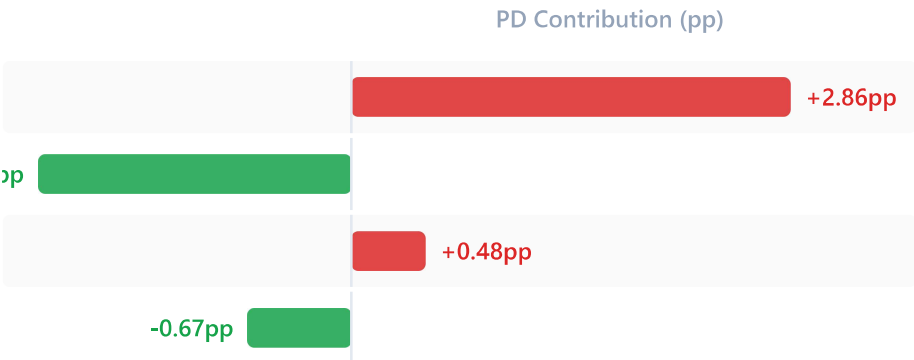
DEFAULT PROBABILITY GAUGE



HIGH LEVERAGE

WEAK PROFITABILITY

FEATURE ATTRIBUTION (PD DRIVERS)



FEATURE	YOUR VALUE	BASELINE	PD CONTRIBUTION	DRIVER
Debt-to-Equity Ratio	2.50x	1.20x	+2.86pp	Debt-to-Equity Ratio of 2.50x is above the risk threshold (benchmark <= 2.0x)

FEATURE	YOUR VALUE	BASELINE	PD CONTRIBUTION	DRIVER
Current Ratio (Liquidity)	1.20x	1.60x	-2.04pp 	Current Ratio (Liquidity) of 1.20x is a positive factor — reduces default risk
Net Profit Margin (%)	8.0%	12.0%	+0.48pp 	Net Profit Margin (%) of 8.0% is below benchmark (>= 8%) — increases default risk
Interest Coverage Ratio	2.50x	6.00x	-0.67pp 	Interest Coverage Ratio of 2.50x is a positive factor — reduces default risk

2 — FIVE C'S CREDIT ASSESSMENT

CAPACITY WEAK	CAPITAL MODERATE	COLLATERAL MODERATE	CONDITIONS NEUTRAL	CHARACTER MODERATE
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ASSESSMENT COMMENTARY	
CAPACITY WEAK	Interest Coverage: 2.50 - materially below benchmark (6.0), risk factor Debt-to-Equity: 2.50 - materially exceeds benchmark (<= 1.9), risk factor
CAPITAL MODERATE	Net Profit Margin: 8.00 - well above benchmark (6.0), healthy Current Ratio: 1.20 - materially below benchmark (1.6), risk factor
COLLATERAL MODERATE	Seniority: Unknown seniority class LGD: No collateral — base LGD applies
CONDITIONS NEUTRAL	Loan Maturity: Standard Borrower Category: Standard corporate risk weights applied under Basel III Capital Required: 8% of RWA ₹62,500,000

CHARACTER

MODERATE

CIBIL Score: Moderate bureau score — generally satisfactory credit conduct

Previous Default: No prior defaults on record

Late Payments (12m): Occasional recent delinquency — monitor repayment discipline

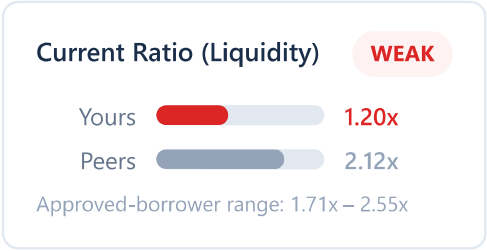
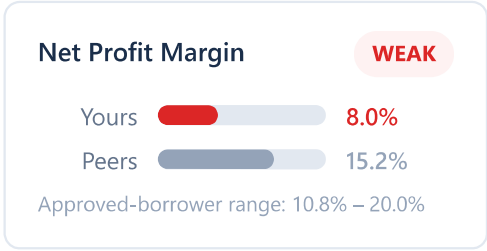
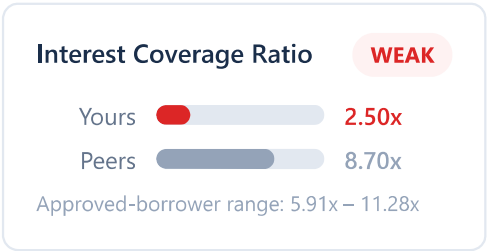
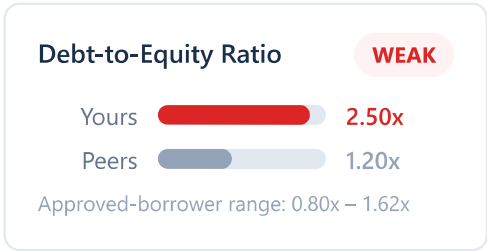
Existing Loan Relationships: Established borrowing track record

2B — MACRO REGIME SCORE (ECONOMIC CONTEXT)

Country macro data unavailable — MRS not computed.

3 — YOUR METRICS VS APPROVED BORROWERS

FEATURE HEALTH (VS APPROVED-BORROWER MEDIAN)



4 — IMPROVEMENT PATHWAYS

Each scenario shows the minimum change required in a single metric to move to the next better rating grade. All values are model estimates; actual outcomes depend on business conditions.

1

Debt-to-Equity Ratio: reduce from 2.50 to 1.81

Target: reduce D/E by retiring high-cost debt or injecting equity. Options: use operating cash flows for debt repayment, negotiate debt-for-equity swap, or raise fresh equity capital.

Difficulty: **Moderate** · Timeline: **3–12 months**

-1.7ppGrade: **BB → BBB**

2

Net Profit Margin (%): improve from 8.00 to 24.05

Review cost structure — particularly operating leverage. Identify low-margin product lines for repricing or exit. Working capital efficiency improvements can also lift margins.

Difficulty: **Moderate** · Timeline: **3–9 months**

-0.9ppGrade: **BB → BBB****PATHWAY A — RESTRUCTURE SCENARIO**

Adjust deal structure — reduce exposure, add or change collateral, shorten tenor, change seniority — to see how grade, EL and pricing respond in real time. Financial fundamentals (D/E, coverage, profitability, liquidity) remain as-assessed.

EXPOSURE (₹)

5000000

SENIORITY

Senior Unsecured



COLLATERAL TYPE

None



COLLATERAL VALUE (₹)

3000000

MATURITY (YEARS)

3.0

Re-quote →

5 — AIRB REGULATORY DETAILS**₹50.00 L**

EXPOSURE (EAD)
Loan amount at risk

—

LGD

0.1350

CORRELATION (R)
Basel III AIRB

1.221

MATURITY ADJ.
M = 3.0y

1250.0%

RISK WEIGHT
AIRB formula

₹6.25 Cr

RISK-WEIGHTED ASSETS
 $EAD \times RW$

₹50.00 L

CAPITAL REQUIRED
8% of RWA

1.871%

EXPECTED LOSS %
 $PD \times LGD$

6 — CREDIT DECISION

RECOMMENDATION

REFER TO CREDIT COMMITTEE

One or more metrics require committee review before sanction.

Override requires documented credit officer justification.

POLICY KNOCKOUTS

No policy knockouts triggered.